सीमाशुल्क आयुक्त (आयात) का कार्यालय
OFFICE OF THE COMMISSIONER OF CUSTOMS (IMPORT),
मुंबई ज़ोन -III, जन संपर्क अनुभाग, हवाई माल संकुल
MUMBAI ZONE – III, PRO CELL, AIR CARGO COMPLEX,
सहार, अंधेरी (पूर्व), मुंबई- ४०० ०९९
SAHAR, ANDHERI (EAST), MUMBAI – 400 099
e-mail- proaccsahar@gmail.com Phone-022-22816696

F.No. S/3-MISC-PRO-516/2013 ACC(I) Part III Date: 26.02.2018

दिनांक 14.02.2018 को सम्पन्न स्थायी व्यापार सुविधा कमिटी की बैठक का कार्यवृत

MINUTES OF THE PERMANENT TRADE FACILITATION COMMITTEE MEETING HELD ON 14.02.2018

स्थायी व्यापार सुविधा कमिटी की मासिक बैठक दिनांक 14.02.2018 को 11:30 बजे हुई। जिसकी अध्यक्षता संयुक्त रूप से श्री विनायक आज़ाद, आयुक्त (आयात) और श्री एस. अनंत कृष्णन, आयुक्त (निर्यात) द्वारा की गयी।

The monthly meeting of the Permanent Trade Facilitation Committee (PTFC) was held on 11.02.2018 at 11.30 A.M. and was jointly presided over by Shri Vinayak Azaad, Commissioner of Customs(Import) and Shri S. Anantha Krishsnan, Commissioner of Customs(Export), ACC, Sahar.

निम्नलिखित अधिकारियों व हितधारी संगठनों के प्रतिनिधि ने इस बैठक में भाग लिया।

Following officers and representatives from the stakeholder organizations participated in the meeting:

नाम व पद/ Name & designation	संगठन/Organization
श्री राजू सक्थिवेल/Shri Raju Sakthivel अपर आयुक्त (निर्यात)/Addl. Commissioner (Export)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री सुखजीत कुमार/Shri Sukhjit Kumar, अपर आयुक्त (आयात)/Addl. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री पवन खेतान Shri Pawan Khetan, संयुक्त आयुक्त (आयात)/Jt. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री तपन कुमार Shri Tapan Kumar, संयुक्त आयुक्त (आयात)/Jt. Commissioner (Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री कैलास वि. कारखिले/ Shri Kailas Vinayak Karkhile, सह. आयुक्त (आयात)/Asstt. Commissioner(Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी
श्री एम. सी. शेख/Shri M. C. Shaik, AC(Import) सह. आयुक्त (आयात)/Asstt. Commissioner(Import)	Customs, ACC, Andheri सीमाशुल्क, हवाई माल संकुल, अंधेरी

Name of attendees from stakeholder organizations	संगठन/Organization
G.K. Kumar, S.D. Murthy, K. D. Dhule, R. B. Bidkar, P Raghuraman	Air India
Manoj Singh, Cdr. Lokesh (Retd.), Mayilvanan T., Mohamed Nasir, Nandan Kanchan	MIAL (Custodian)
Dushyant Mulani, Ketan Desai, Kaushal Thakker, Sanjeev Harale, Shankar Shinde, CA Veeraman Iyer, Paresh R. Sangani	BCBA (formerly known as BCHAA)
Nimish Desai, Paresh Shah	WISA
Bala Ayer	ACAAI
B.S. Khatti	WCCB
Vaishali Kulkarni	COSIA
Jyotsna Patil, Bhasker Thirumal	Jet Airways
R Y Bankar,	
Sudhir	Manipur Air Logistics
Mark Fernandes	Sylvestor

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1. Points from the previous PTFC meetings which were taken up for discussion:

A. Weeding out old Dockets

In previous meeting, representative of M/s Newgen intimated that after scanning, the files/dockets are stored in the boxes and placed at the Pipeline Warehouse. However as the storage space at the warehouse is fully occupied, these dockets are lying in the Shed. The documents of 2011 are already available in soft copy, they may be permitted to weed out the documents of 2011, thus creating storage space for the documents of the current year.

MCD(I) Section informed that they have sent a letter to Document Management Systems M/s. Newgen Software Technology permitting them to weed out the dockets of export of the year 2011 also to Cargo(Admn), GVK, MIAL, Air Cargo Complex, Mumbai.

The representative of MIAL stated that the necessary action will be taken by the next meeting.

[Action: MIAL, AC/MCD (I) & (X)]

B. Simplification in 1st time import procedure

In the previous meetings, the representative of BCBA stated that procedure of 1st time import registration after roll out of GST needs to be reviewed for registration in a time bound manner.

The representative of BCBA requested for issuance of a Public Notice in line with Public Notice No. 112/2017 issued from JNCH, Nhava-Sheva whereby only one document i.e. either copy of Adhaar or IT Return is required to be submitted.

The Joint Commissioner of Customs (Import) informed that a Public Notice No. 48/2017 has been issued by the department. He further added that submission of Adhaar Copy is not sufficient as the purpose is not only to establish the identity of the importer but it is to identify the financial condition or credential of the importer or their firm.

In the meeting, the representative of BCBA stated that vide Circular No. 02/2018-Customs, Board has simplify the norms for KYC verification in the case of import or export through Courier. Further, the representative of ACAAI stated that the department should not discriminate between Courier and Cargo as regards KYC verification, accordingly, they requested for issuance of a Public Notice in line with the said circular.

The representative of ACAAI also raised the point that due to some exemption of procedure in the case of Courier in comparison of Cargo, Courier becomes lucrative and hence in order to provide level playing field it is required to put some condition such as weight limitation or others. In the meeting, it has been decided to pursue the matter with Board simultaneously.

The chairman assured that the issue will be re-examined and will try to minimize documents and area of delay and inconveniences will be find out and sorted out.

[Action: ADC/Import]

C. Offloading of Export Cargo

In the previous meeting, the representative of ACAAI stated that offloading of export cargo from the agent's truck is slow in Air India areas as no loaders are available. The trade representative expressed that there is very poor working facility in Air India Export Shed. It was also pointed out that no senior officer/supervisor is available in the dock area to look into the problem.

The chairman directed the representative of Air India to put extra loaders and depute one supervisor for each shift in the Docks area. Air India was also requested to display Mobile Number of such supervisor/manager. This will help the trade for quick solution of problems faced by trade.

The representative of Air India stated that the problem, if any faces by the trade is being sorted out by installing equipment. They are contemplating to purchase the required equipment and assured that within 10-15 days, they will deliver positive result. In the meantime, the

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chairman directed the representative of Air India to depute supervisory staff for each shift in the Docks area to enable the trade to consult in case of difficulties.

[Action: AIR INDIA]

D. SCN for drawback for period which already been closed

In the previous meeting, the representative of ACAAI stated exporters are once again receiving SCN for drawback for the period which has already been closed and SCNs are dropped. They requested that all shipping bills should be closed immediately after SCN is dropped. Earlier, the Addl. Commissioner of Customs (Export) stated that in some cases the SCNs have been issued for different periods but exporters have submitted negative statement for only some of the period hence such SCNs cannot be dropped till the submission of negative list for full period under the SCN.

While submitting action taken report for the previous meeting, the Addl. Commissioner of Customs (Export) has reiterate that they already clarified in the previous meeting that in some cases the SCNs have been issued for different periods but exporters have submitted negative statement for only some of the period hence such SCNs cannot be dropped till the submission of negative list for full period under the SCN. They further stated that as per the data received from ICEGATE/EDI, for Shipping Bills with LEO date prior to 01.04.2013, there were 6508 cases, where BRCs have not been submitted. In this regard, a Facility Notice dated 07.06.2017 and subsequent Public Notice dated 17.07.2017 were issued for the exporters to submit the proof regarding realization of export proceeds. The copy of the Facility/Public notice was also forwarded to FIEO, Importer & Exporter Association, CHA Associations etc. After the period given in above public notice is over, Demand-cum-Show Cause Notices issued to 4784 exporters, who have not submitted any documents. After issuance of Demand Notices, around 900 cases have been decided till date after submission of requisite documents by the exporters and the Shipping Bills are closed in the system also. In rest of the cases, further opportunity for personal hearing have been given to the exporters for submission of documents, after that the cases will be decided ex-party on the basis of available documents and Shipping Bills will be closed on the basis of the documents submitted by the exporters.

In the meeting, the Chairman agreed that the issue raised by the trade is genuine and accordingly he is pursuing the matter personally and will sort out the issue at the earliest.

[Action: AC/DBK(X)]

E. NOC for import of Vaccine

In the previous meeting the representative of BCBA informed the house that while import of vaccine the documents were only transferred to ADC for their NOC. Now for some of the days it has been noticed that import vaccine is also being transferred to Animal Quarantine for NOC as well as ADC NOC which causes undue delay of consignment.

The chairman stated that this is system (ICES 1.5) error and the same will be taken up with the DG(System) and Single Window Team of CBEC to resolve this at the earliest. He further added that the subject issue has also been taken up by the Commissioner of Customs with Commr.(RMD) and requested to inform such cases to Commr.(RMD) also.

In the instant meeting, the Chairman informed the house that the matter has been taken up by the Additional Director General, RMD with DG Systems(Single Window), CBEC, New Delhi. The decision as taken will be informed the moment it is available.

[Action: AC/EDI]

F. Increase in dwell time due to non-intimation of arrival of cargo by FedEx, UPS

In the instant meeting the representative of BCBA informed that on account of late intimation for arrival of cargo by carrier such as FedEx, UPS etc., there is increase in dwell time for clearance. This results in delay of clearance and non-compliance of Custom Notification No. 26/2017 NT which mandates filing of Bill of Entry in advance or on the same day of arrival.

They suggested that there should be proper accountability of such stakeholders, who should be made to follow the compliance and endeavor of CBEC for timely clearance of Import consignments. At present, trade is suffering delay in clearance, payment of demurrage charges, payment of late submission fee etc. on account of these carriers.

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The representative of MIAL informed the house that they had taken a meeting with the representative of the UPS and FedEx and submitted the segregation work is being done after landing of flight into India which causes delay in further clearance process. They suggested that such segregation should be carried out at the initial point of loading to avoid unnecessary delay.

The Chairman agreed to the suggestion and directed the representative of MIAL to hold a meeting with FedEx and UPS in this regard. The Chairman also suggested that representatives of FedEx and UPS should also attend the PTFC meeting.

The representatives of trade has raised that in the case of Courier, delivery of goods is much faster than that of Cargo. In response, the representative of MIAL informed that the Carrier do not differentiate between Courier and Cargo. When Cargo arrives, segregation work between Cargo and Courier is being done. The representatives of trade have raised that IGM can be filed before landing the cargo in the line of Sea Cargo. In response, the representative of MIAL informed the house that the facility of advance filing in the case of Sea Cargo is feasible due to international convention whereas in the Air Cargo advance intimation is not feasible till the completion of segregation work.

In the meeting, the representatives of trade has raised the issue pertaining to the Courier and the Chairman agreed to the suggestion that he will invite Commissioner of Customs(APSC) for next PTFC meeting.

[Action: MIAL, FedEx, UPS]

G. Proper working of 24x7 facility

In the instant meeting the representative of BCBA stated that for timely clearance of import / export cargo, CBEC has introduced 24x7 schemes. However it is experienced that all stakeholders are not available to facilitate clearance under 24x7. Inspite of presence of Custom Officers, the other stakeholders such as Airlines, Console Agents are not available on holidays, 2nd Saturdays and even on normal working day also they have restrictive working hours.

They suggested that for reduction of dwell time for clearance, all stakeholders must follow the guidelines issued by CBEC.

The chairman directed to the representative of MIAL to hold a meeting with all Airlines/Console Agents/Custodians for 24X7 working facility in the ACC.

In the meeting, the representative of MIAL informed the house that meeting beween MIAL with all Airlines/Console Agents/Custodians did not happen. They stated that before meeting Public Notice is required to be issued on the subject by the Customs Authorities otherwise meeting will be turned up as futile exercise. They also stated that some airlines are not handling the work relating to Cargo 24X7, they are working on their own schedule. Even, some Airlines agree to work 24X7, the representative of MIAL apprehend that other cascading effect will emerged due to partial participation by Airlines to work 24X7. Accordingly, the representative of MIAL has stated that this matter requires policy decision by the Customs Authorities after taking all the stakes holder on board to facilitate clearance under 24x7.The Chairman assured the representative of MIAL that he will examine the matter.

[Action: ADC/Import]

H. Release of DO

In the instant meeting, the representative of ACAAI submitted that sometimes delivery of import consignments is delayed because the DO is not yet released by the Airline / Consol agents. This increases the dwell time and unnecessary demurrage. Request customs to please issue a PN that all DOs should be released within one hour after payment is made.

The Chairman suggest the representative of ACAAI to submit their grievance in written if any Airline / CONSOL agents deliberately delays the delivery. But, the representative of ACAAI has stated that their grievance is in general in nature and not against any individual. The Chairman assured the representative of ACAAI that he will examined the matter.

[Action: MIAL/Air India]

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I. **Online facility for reply of Query**

In the instant meeting, the representative of ACAAI submitted that at present any query raised by the AO on the BE, can be answered on-line only by the Service Centre. A customs broker cannot answer on-line from his office. In Courier Cell, the Customs broker can reply to queries raised by the AO on-line. This facility should be extended to Customs Broker in cargo which is already happening in the Courier Cell.

The point was held not sustainable by the Chairman because, the facility is already available through E-Sanchit.

[Action: Point Closed]

J. **Rounding of TSP charges by Air India**

In the instant meeting, the representative of ACAAI submitted that Air India's rounding up on TSP charges is very high. Rounding up or down should be done to the next higher or lower rupee and not to higher value of five rupees. For example Rs 330.40 should become Rs 330.00 and not Rs 335.00. They further stated that Air India does not believe in rounding down. They only round up. This is not correct.

The Chairman directed the representative of Air India to submit clarification in this regard. The representative of Air India has informed the house that the problem happened due to technical error. The same has been rectified

[Action: Point Closed]

K. **Implementation of Pure Agent concept**

In the instant meeting, the representative of BCBA submitted that 'Pure Agent' concept in GST Billing for exports is still not started by the MIAL.

The representative of MIAL submitted that they charge as per the master list. However, the billing system is under review. The representative of MIAL reiterated that before changing the billing system, they have to install software. Further, the software they are utilizing are tackling many trade related issue/regulatory issue. Changes in the system include commercial angle and representative of MIAL suggested the representative of BCBA to submit their request in writing. The representative of BCBA agreed that they will submit the representation to the MIAL.

[Action: MIAL]

L. **Sharing of CCTV footage**

In the instant meeting, the representative of BCBA submitted that there are certain instances observed regarding shortage of items in the imported consignment at the time of clearance. It needs to be verified, whether it is a case of pilferage after landing or not. They requested that in such cases, CCTV footage should be shared with the importer/CB as and when required.

The representative from MIAL informed the house that the entire shed is under the surveillance of CCTV and they share the CCTV footage with the Intelligence and Administrative bodies. They stated that CCTV footage can be shown to the Importer but it is not possible to give copies of the same.

[Action: Point Closed]

2. New point for discussion in this meeting

A. Intimation to importer at the time of Auction

In the instant meeting, the representative of BCBA submitted that in case if consignment is taken up for auction, intimation to importer may be given. The representative of MIAL has informed the house that in the prevalent procedures the said intimation is being given to

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importer at the time of auctioning the consignment and hence no direction is required to be issued on the matter.

[Action: Point Closed]

B. **Not accepting payment via RTGS/Cheque**

In the instant meeting, the representative of BCBA submitted that Air France, Singapore airlines not accepting payment via RTGS/Cheque, ACC P.N. 16/2016 is ignored by the airlines; this is resulting in delay in clearance and cost. The Chairman directed the representative of MIAL to look after the difficulties of the trade and sort out the issue.

[Action: MIAL]

C. **Scans the bar code instead of writing the examination report**

In the instant meeting, the representative of ACCAI submitted that in Courier Cell, the examining officer need not write the examination report after examination. He merely scans the bar code with his bar code reader and is immediately captured in the system. They demanded the same facility at ACC. This will considerably reduce the dwell time. The Chairman assured the house that he will examine the matter.

[Action: AC/EDI]

बैठक का समापन अध्यक्ष महोदयों को धन्यवाद ज्ञापन के साथ हुआ।

The meeting ended with thanks to the Chairman.

यह स्थायी व्यापार सुविधा कमिटी के अध्यक्ष महोदयों आयुक्त महोदय (आयात) एवं आयुक्त महोदय (निर्यात), अंचल-III के अनुमोदन से निर्गत किया जाता है।

This issues with the approval of the Chairman of the PTFC, Commissioner of Customs (Import) and Commissioner of Customs (Export), Mumbai Customs Zone-III.

24/2/18

(सुखजीत कुमार/Sukhjit Kumar)
अपर आयुक्त सीमाशुल्क (आयात)
Addl. Commissioner of Customs (Import)
हवाई माल संकुल, सहार, मुंबई
Air Cargo Complex, Mumbai

COPY TO:

1. Chief Commissioner of Customs, Zone-III, Mumbai - For kind information, please.
2. Pr. Commissioner / Commissioner of Customs, Import / Export / General, ACC.
3. All Addl./Jt./DC/AC Commissioner of Customs, Import / Export / General, ACC.
4. All members of PTFC meeting (via E-mail)
5. E &T Section/PSO Section ....for circulation in Export/General Commissionerate.
6. EDI Section- For uploading on ACC Website.
7. Office copy.

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